whether they have adequate strength to fly the planes." Experts believe the DGCA, too, should share part of the blame. The regulatory authority may have held the requisite meetings to check whether IndiGo and other airlines were prepared for the new FDTL rules, but they should have been more proactive in verifying IndiGo's statements about pilot adequacy before allowing it to raise its winter flights by 10 per cent.

The ministry has also got the airline to cough up refunds. Between November 21 and December 7, nearly 960,000 passenger bookings were cancelled and refunded, amounting to Rs 827 crore. On December 11, IndiGo announced travel vouchers worth Rs 10,000—to be used for any journey over the next 12 months—for passengers who were stranded on December 3-5. This is over and above the government guidelines of compensation of Rs 5,000-10,000 depending on the block time of the flight, to those customers whose flights were cancelled within 24 hours of departure time.

The DGCA has signalled that it now means business. The government has promised stricter passenger protection rules, aware that India's compensation regime lags far behind global standards. Core provisions include refreshments/meals for delays over two hours in domestic and three hours in international, hotel stays for overnight delays, full refunds or re-assignations for cancellations. But these are no match for what countries like the UK do for passengers—compensation per person ranging from £110-520 for cancelled flights, depending on distance and delay (if notified less than 14 days ahead, excluding extraordinary circumstances). Unlike in India, passengers' rights are well known and enforcement clinical. Naidu and his boss have their work cut out.

## ILLS OF A DUOPOLY

The crisis does highlight some of the reforms India's domestic aviation sector has been crying out for. It has enjoyed robust post-pandemic growth, with passenger numbers climbing from 123 million in 2022 to 152 million in 2023 and to 161 million in 2024, driven by rising middle-class travel demand and expanded regional connectivity. But that's pretty much it. Two operators, with some 700-odd planes between them, servicing a country of 1.4 billion. Naidu has said the pie is big enough for five more airlines. If that is not happening, there is good reason for it. In the past 20 years, more airlines have shut shop than taken off in India. The more conspicuous casualties have been Kingfisher Airlines, which went bankrupt in 2012 with enormous debts; Jet Airways, once the market leader, stopped flying in 2019; and Go First, which declared insolvency in 2023.

Experts say the problem lies in one simple word: over-regulation. As D.P. Hemanth, CEO of Asia Pacific Flight Training Academy, puts it: "In India, you cannot get up from bed, bathe, have breakfast, and go to sleep without having to get 10 approvals at each step. And then you need to convince foreign lessors...."

India's airlines are also crippled by a cost structure where aviation turbine fuel (ATF) eats up 40-45 per cent of operating revenues. With an 11 per cent central excise duty, state VAT rates as high as 29 per cent, and exclusion from the GST regime, this heavy taxation erodes airline margins, leaving even the most efficient carriers battling to stay afloat.

Though not above a spot of predatory pricing when the game called for it, IndiGo and Air India did not create a 'duopoly' by restricting market access for others; they gained market share through consumer preference and efficiency. "IndiGo's current market share is a result of the sector structure which has evolved over the past 20 years—driven by market failures and not created by design. So, it's not a monopoly as such," says analyst Kapil Kaul, CEO of the aviation consultancy firm, CAPA. He doesn't believe the 10 per cent downsizing of IndiGo flights augurs well, and says it could impact fares. The crisis has exposed the limits of cost leadership in a system with no slack. The real test now is whether India can chastise and reform its only runaway success without dragging the rest of its aviation story down with it. ■



**"I KNOW AN APOLOGY CAN'T MAKE UP FOR MISSED EVENTS, LONG WAITS OR THE STRESS MANY OF YOU EXPERIENCED. BUT IT IS IMPORTANT FOR ME TO EXPRESS OUR REGRET AND ACKNOWLEDGE THE DISRUPTION YOU'VE FACED"**

**—VIKRAM MEHTA, CHAIRMAN, INDIGO**



**"INDIGO'S MARKET SHARE IS A RESULT OF THE SECTOR STRUCTURE WHICH HAS EVOLVED OVER THE LAST 20 YEARS. IT WAS DRIVEN BY MARKET FAILURES... IT'S NOT A MONOPOLY AS SUCH"**

**—KAPIL KAUL, CEO, CAPA**